



FY 2019 RESULTS

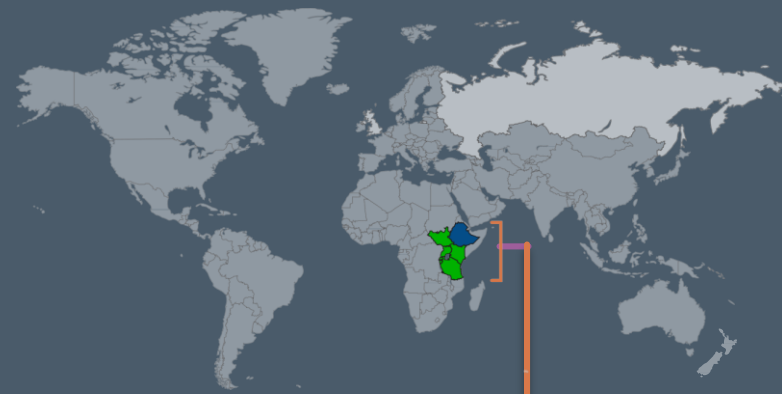
OUR REGIONAL PRESENCE

Banking Businesses:

- KCB Bank Kenya
- KCB Bank Tanzania
- KCB Bank South Sudan
- KCB Bank Rwanda
- KCB Bank Uganda
- KCB Bank Burundi
- National Bank of Kenya
- Ethiopia Rep. Office

Other Investments:

- KCB Capital Limited
- KCB Insurance Agency
- KCB Foundation
- Kencom House Limited



CUSTOMERS

22.8 MILLION



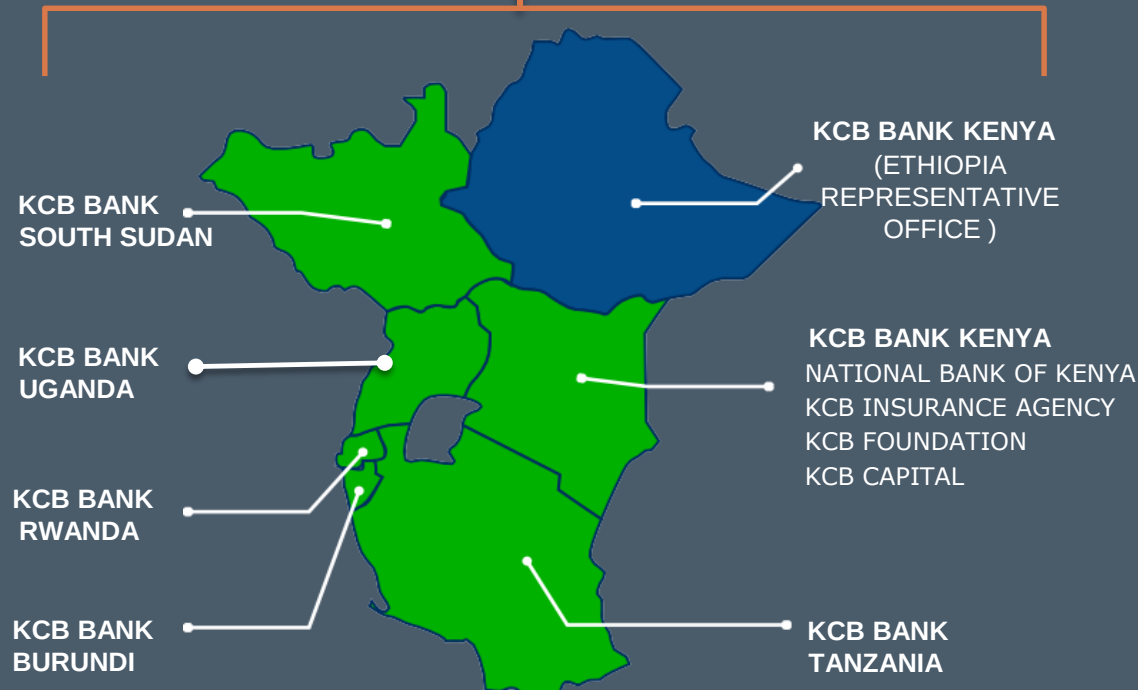
342 BRANCHES

1,055 ATMS,
23,302 AGENTS & MERCHANTS



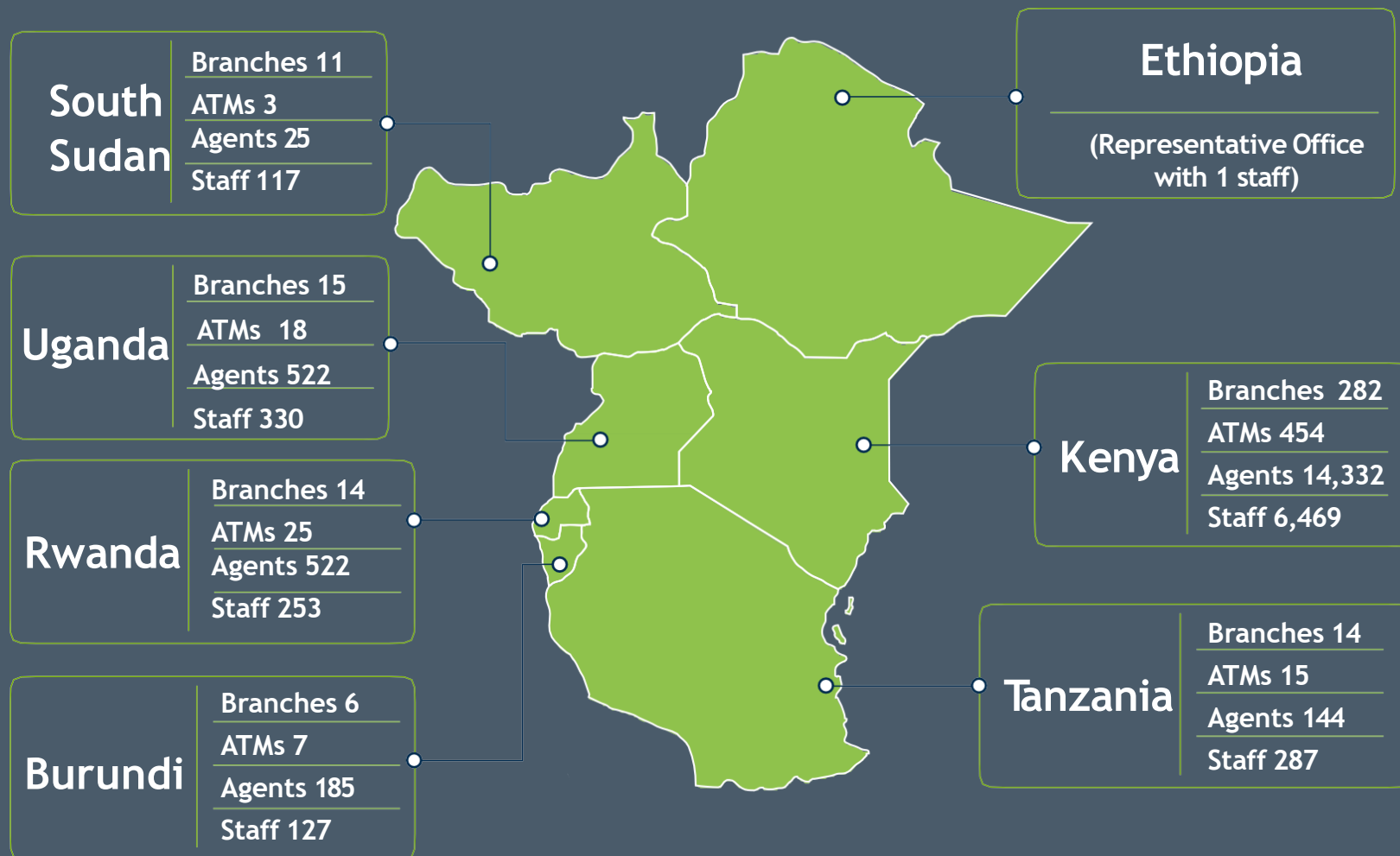
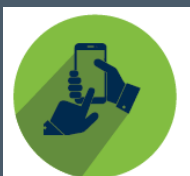
STAFF

7,584



OUR FOOTPRINT

Touch Points:



STABLE CREDIT RATINGS

Ratings confirmed in
August and
September 2019

RATING AGENCY

S&P Global
Ratings

MOODY'S
INVESTORS SERVICE

SOVEREIGN

KCB BANK KENYA

B2 (Stable)

B2 (Stable)

B+/B

B+/B

2019 HIGHLIGHTS

Acquisition of NBK

KCB completed the takeover of National Bank of Kenya

M&As

Sustained interest in the sector with the multiple announcements of mergers and acquisitions.

INTEREST RATE CAP

Renewed focus on the sector following the repeal of the rate caps that limited the maximum lending rates to 400bps above CBR.

BANKING CHARTER

Guidelines on the adoption of customer-centric business models by banks, risk-based credit pricing, enhanced transparency & information disclosure and entrenching an ethical culture within banks.

DEMONETIZATION

CBK concluded the withdrawal of the older 1,000 shillings banknotes and introduced new notes.



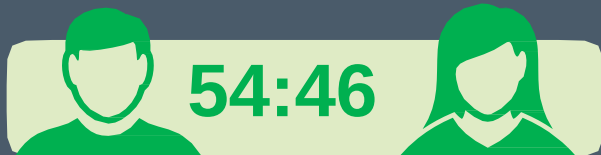
KCB 2JIAJIRI PROGRAMME HIGHLIGHTS



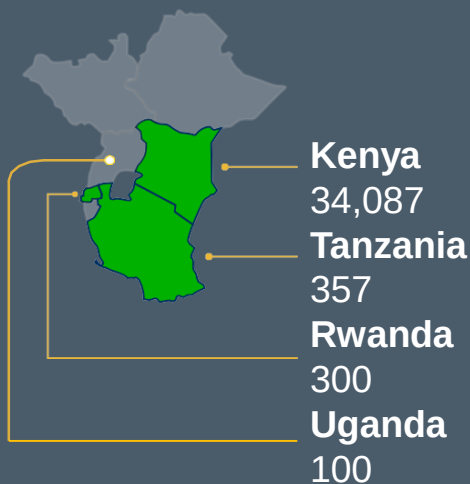
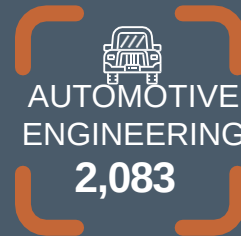
34,844

BENEFICIARIES TO
DATE

Male : Female Ratio



KENYA 2JIAJIRI BENEFICIARIES PER SECTOR



11,564
beneficiaries accessed
Business Development
Support.

KShs. **144 million**
disbursed to beneficiaries to
support their business
enterprises.

‘Young Africa Works’
KShs 10 billion funding
from the MasterCard Foundation
to scale up the bank’s 2jiajiri job
creation programme

KCB FOUNDATION CASE STUDIES

George Odhiambo, owner, Pentagon View Investments, Shanzu, Mombasa



- George trained in carpentry at Mombasa Technical Training School under *2jiajiri* programme.
- Used KShs 100,000 *2jiajiri* funding to expand his business and now has access finance and financial institutions, thanks to *2jiajiri* BDS support.
- Generates an income of KShs 50,000 per month.
- Employs two and also offers apprenticeship to youth.

Tom Mogaka, Owner Smart Digital Electricals, Umoja Innercore, Nairobi



- Trained in electrical installation at Eastlands College of Technology under *2jiajiri*.
- Granted toolkits that have expanded his business.
- The go-to *fundi* in Umoja Estate as well as contractor for DSTV/GOTV installations, basic repairs, TV mounting and aerial installations.
- Generates KShs 100,000 monthly income from his business.

SUSTAINABILITY UPDATE



PRINCIPLES FOR
**RESPONSIBLE
BANKING**

Mainstreaming our 8 Adopted SDG's



•**182** Business Bankers, Relationship Managers and Credit Analysts trained on Environmental, Social Risk screening and Assessment.

•**90.5%** of business units have identified key performance indicators for tracking and monitoring of the 8 SDG's.

UNEP FI – 6 Principles for RESPONSIBLE BANKING: **Launched 2019**



2019 GROUP AWARDS

GLOBAL FINANCE AWARDS 2019

- ❖ Best Bank in Kenya

GLOBAL BUSINESS OUTLOOK 2019

- ❖ Best Digital Transformation in Online Banking
- ❖ Best CSR Initiative – 2jiajiri

BRAND AFRICA AWARDS 2019

- ❖ Most Admired Financial Services Brand

GLOBAL BANKING AND FINANCE AWARDS 2019

- ❖ Best Corporate Governance Bank in Kenya
- ❖ Best Customer Service Bank in Kenya

AFRICAN BANKER AWARDS 2019

- ❖ Best Regional Bank in East Africa
- ❖ Innovation in Banking

EUROMONEY AWARDS FOR EXCELLENCE 2019

- ❖ East Africa's Best Bank for SMEs
- ❖ Kenya's Best Bank

THE BANKER MAGAZINE – TOP 1000 BANK RANKINGS 2019

- ❖ 717th Globally
- ❖ 21st Africa (Highest mover Africa)

INTERNATIONAL CUSTOMER EXPERIENCE AWARDS 2019

- ❖ Gold Award for the Best Customer Experience Team
- ❖ Gold Award for Customer Experience Leadership
- ❖ Gold Award for the Best Digital Strategy



Macro-Economic Highlights

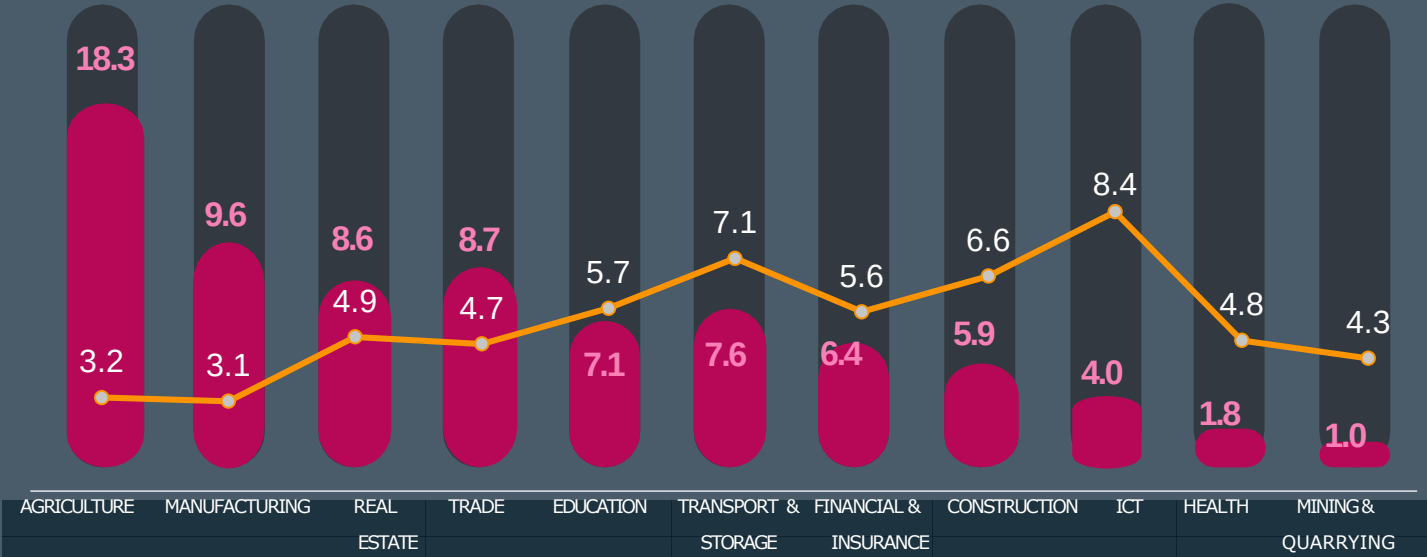
MACROECONOMIC HIGHLIGHTS

Kenya



Q3 19

GDP Growth Rate (%)



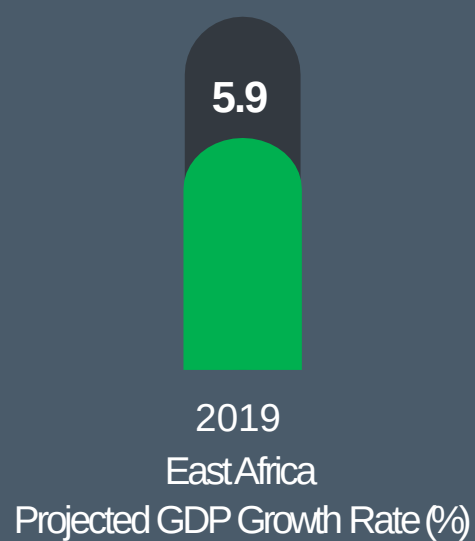
Contribution to GDP Q3 19 (%)

Q3 19 Growth (%)

*Source: Kenya National Bureau of Statistics

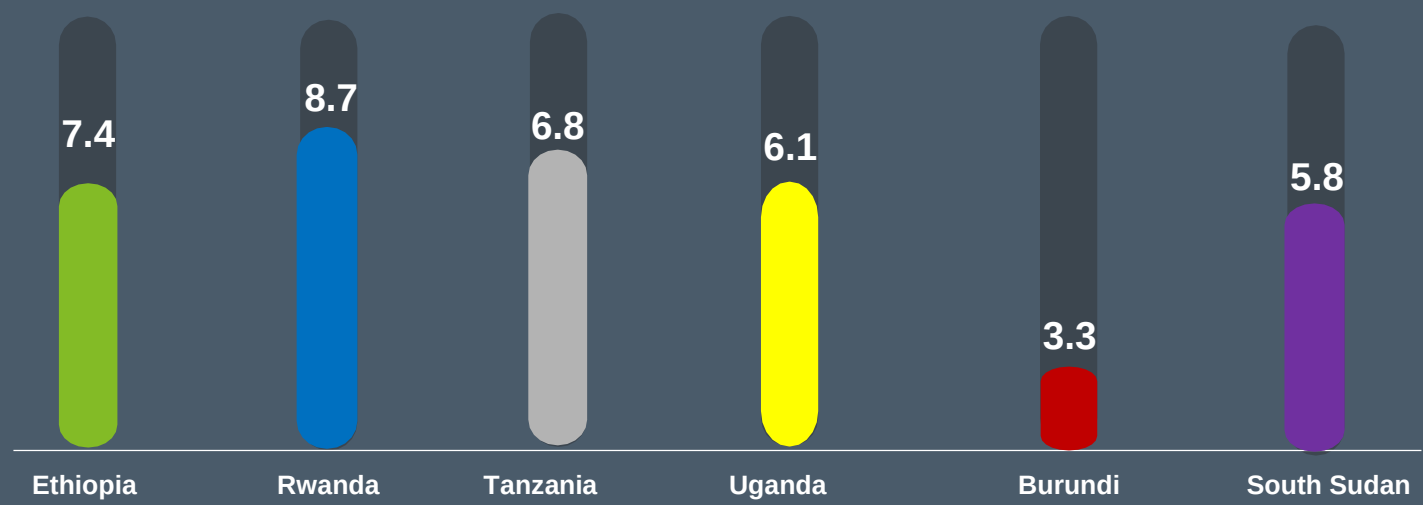
MACROECONOMIC HIGHLIGHTS

Regional GDP Growth



Source: AfDB

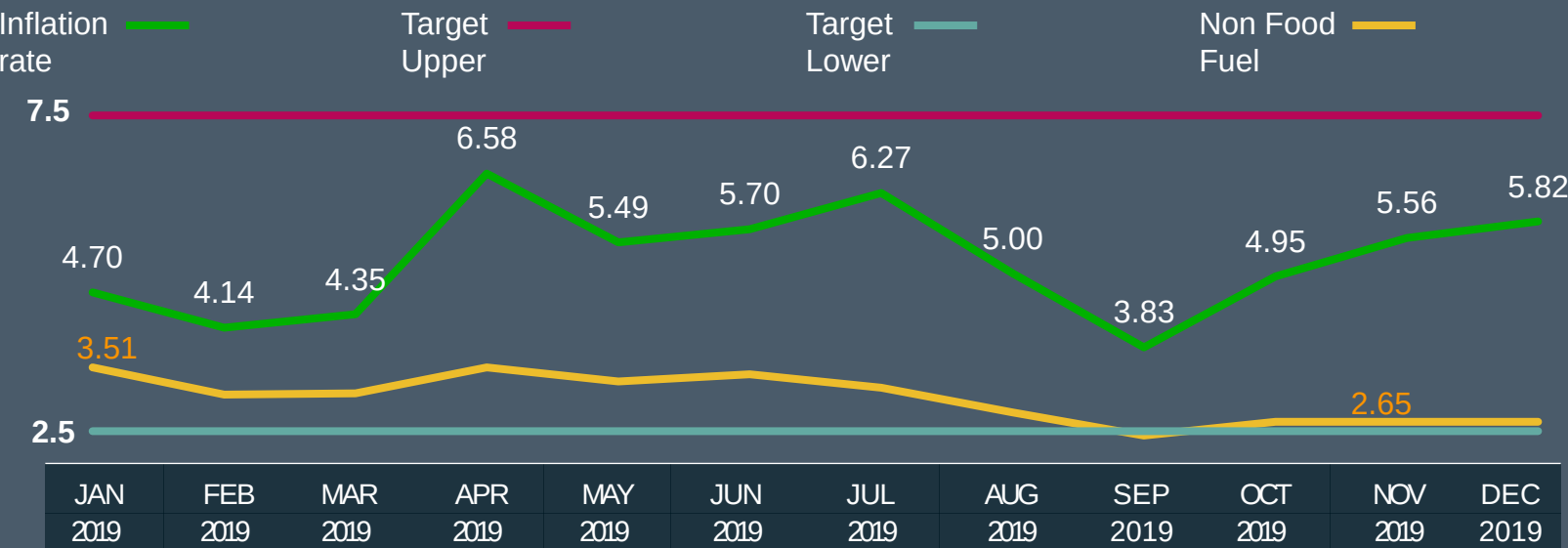
GDP Growth 2019 Projected (%)



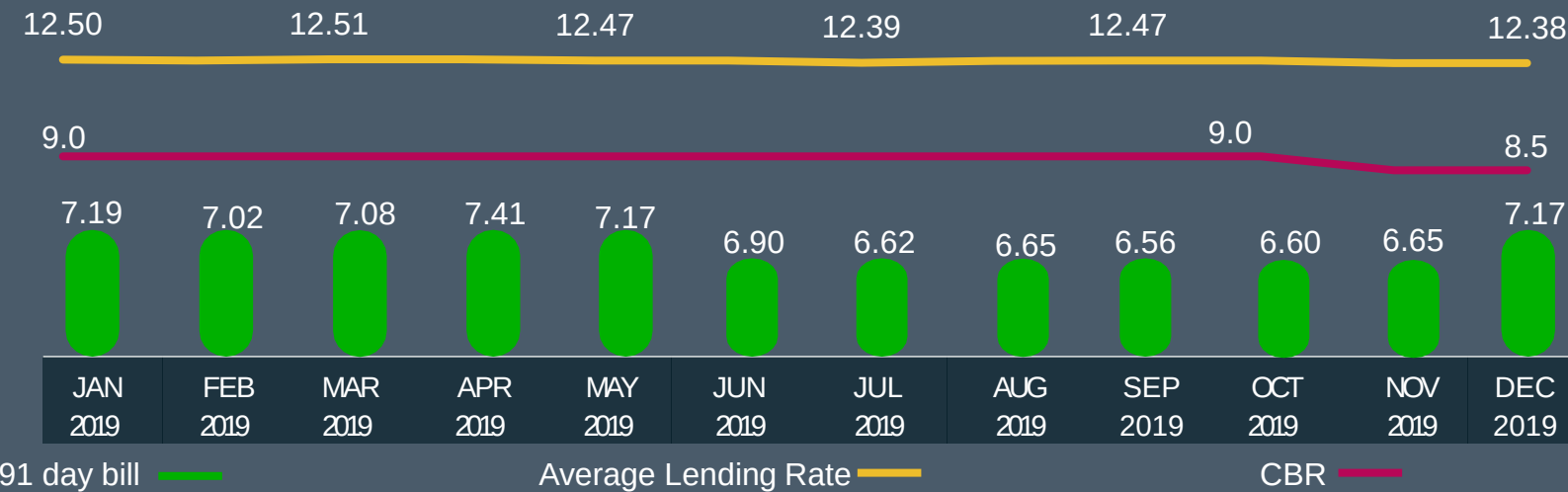
MACROECONOMIC HIGHLIGHTS

Kenya

Inflation Evolution (%)



Interest Rates Evolution (%)

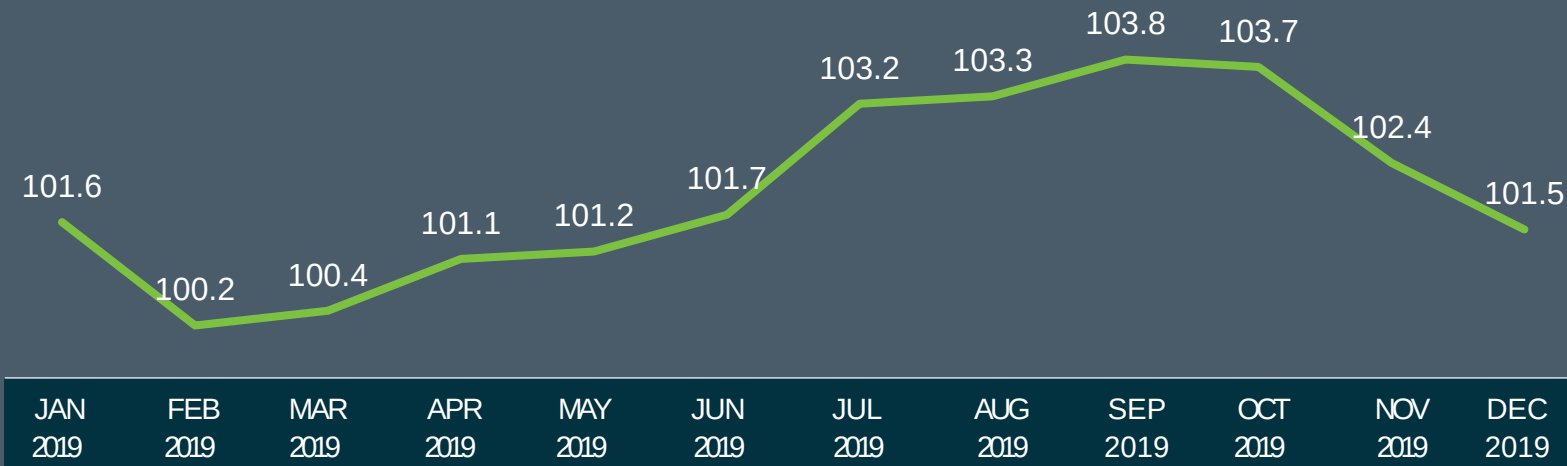


Sources: Central Bank of Kenya
Kenya National Bureau of Statistics

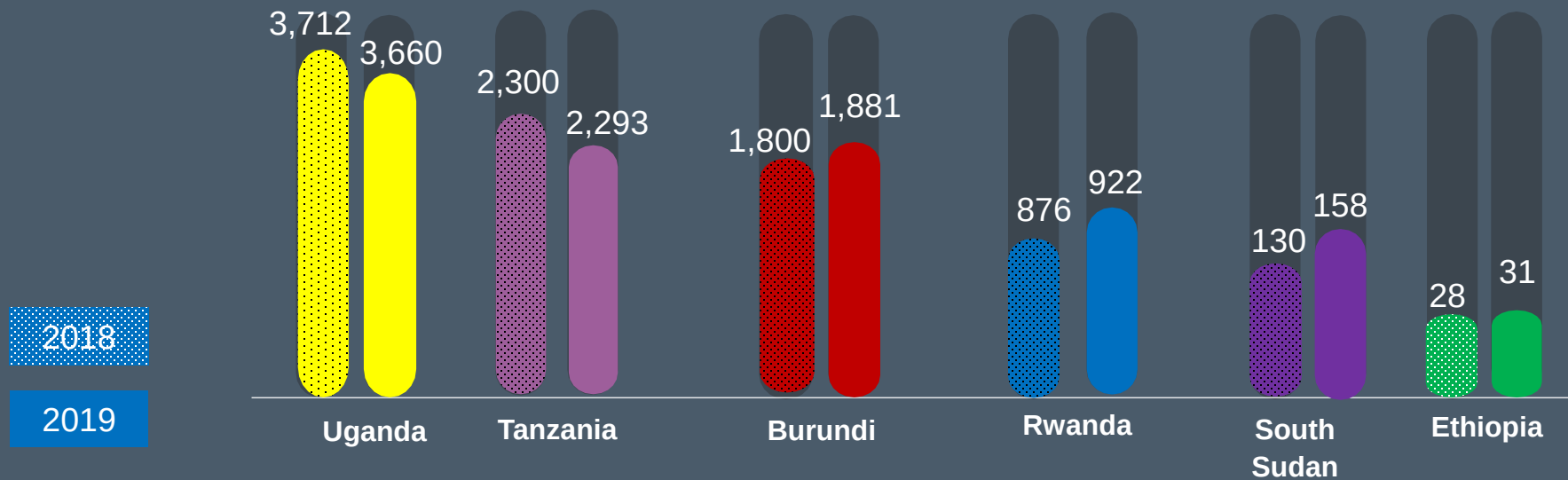
MACROECONOMIC HIGHLIGHTS

Currency Movement

USD/KShs Average Monthly Exchange Rate



Exchange Rates to USD



MACROECONOMIC HIGHLIGHTS

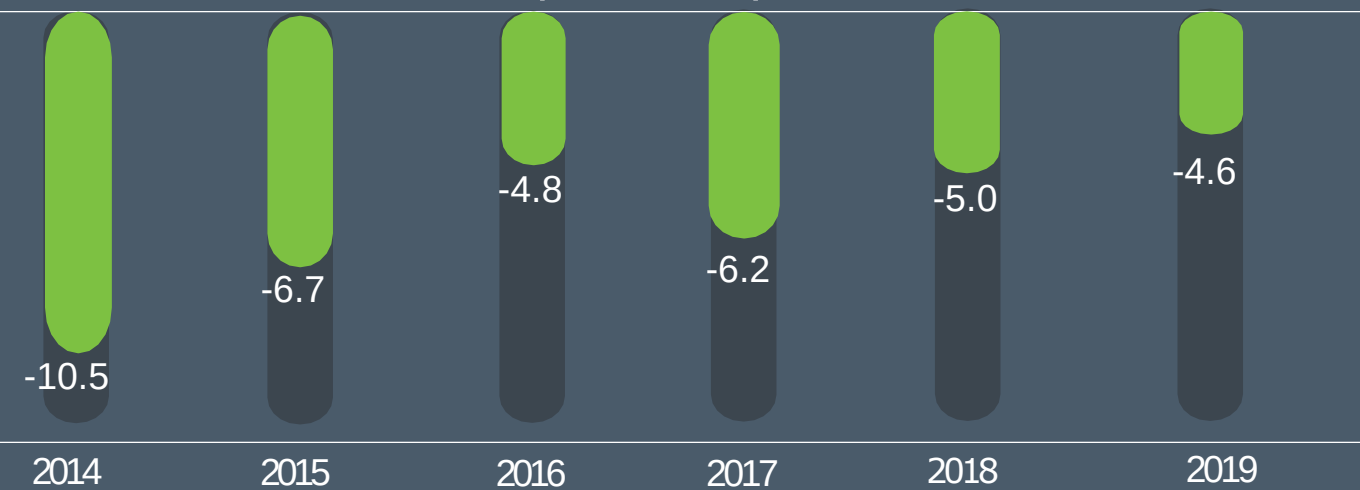
Kenya

Current account deficit at 10 year low

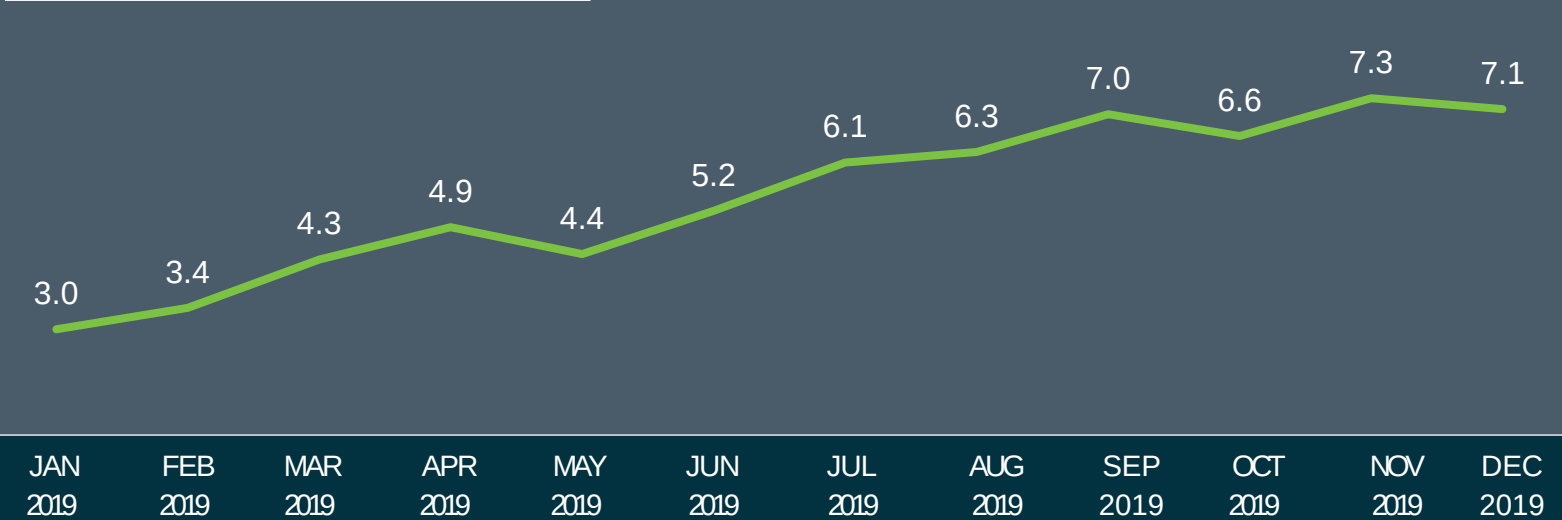
↑ Diaspora remittances
4%
2019: \$ 2,796M
2018: \$ 2,697M

↑ Tourism Earnings
39%
2019: KShs 163.6B
2018: KShs 157.4B

Current Account Balance (% of GDP)



12 Month Private Sector Growth



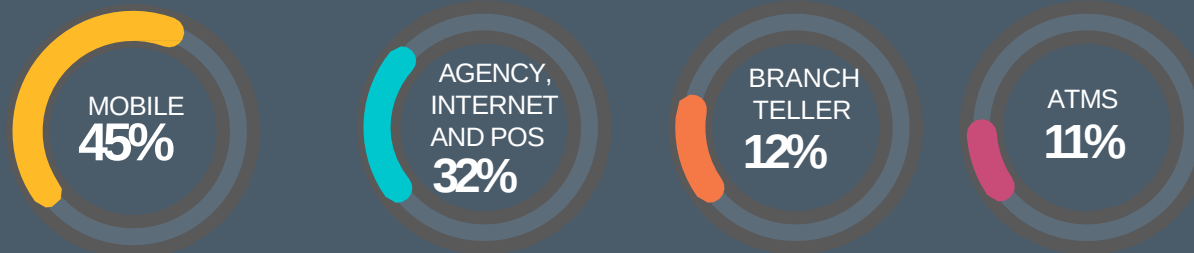
Channel Performance

OUR CHANNEL CONTRIBUTION

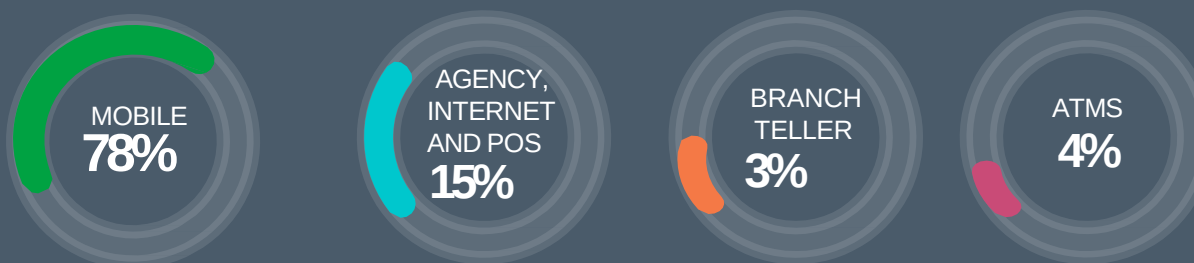
97% of transactions performed outside the branch

126% growth in non-branch revenue to over KShs **12B**

December 2018



December 2019



23% decrease in average transactions / teller per day



Avg. Transactions / Teller per day

23% decrease in Number of branch transactions.

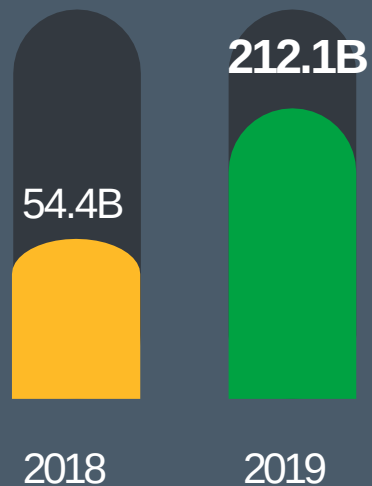


Number of Branch Transactions (M)

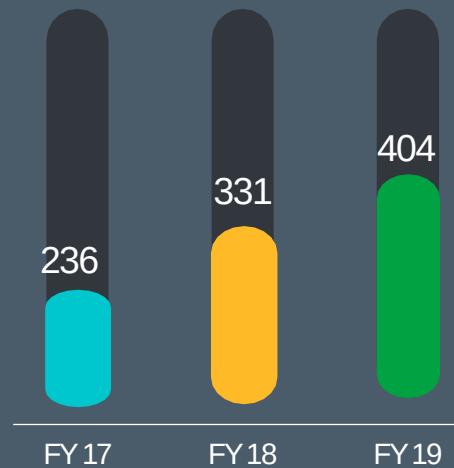
OUR CHANNEL CONTRIBUTION



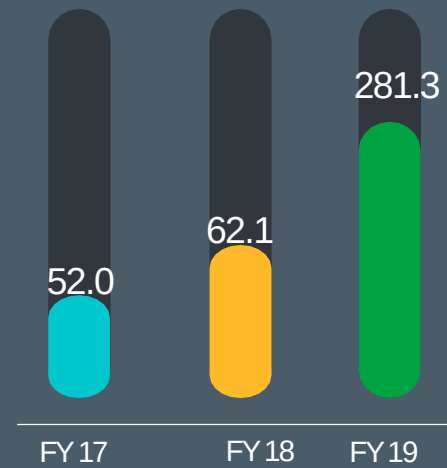
290%
Growth in
Total Mobile
Loans
Advanced



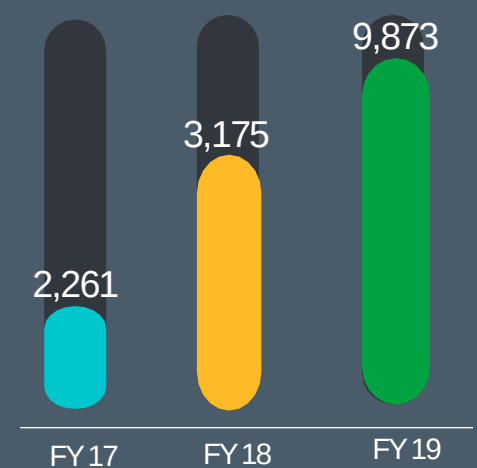
Value of Transactions: Mobi Service
(KShs. B)



No. of transactions
(M)



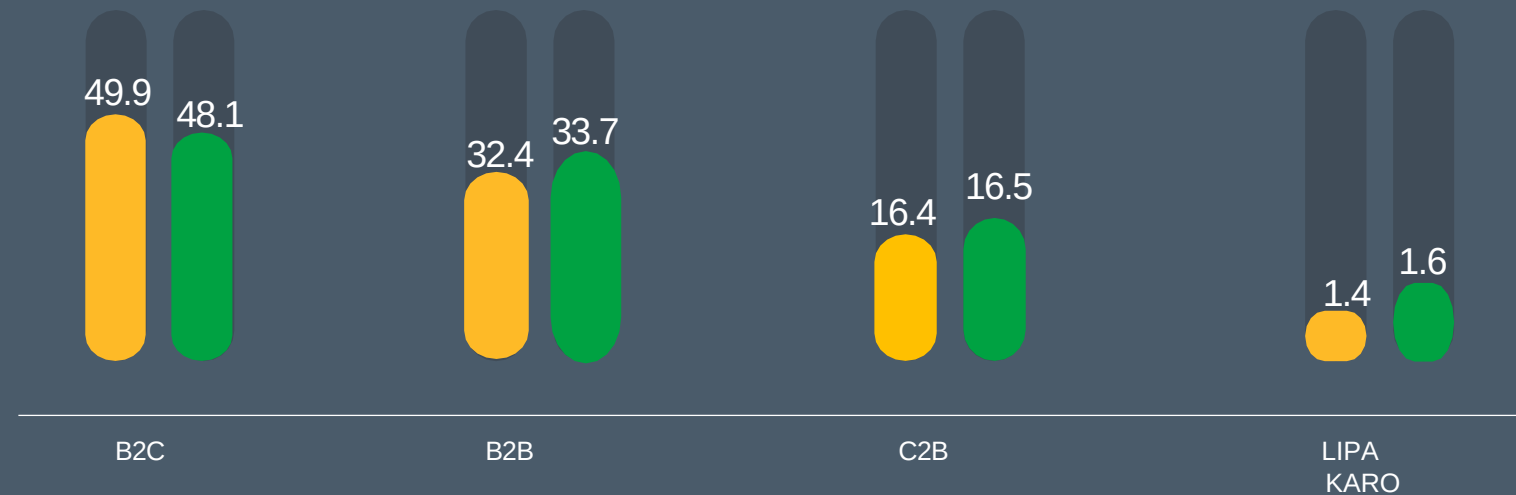
Mobile Revenue
(KShs. M)



Mobile Transaction type (%)

FY 2018

FY 2019



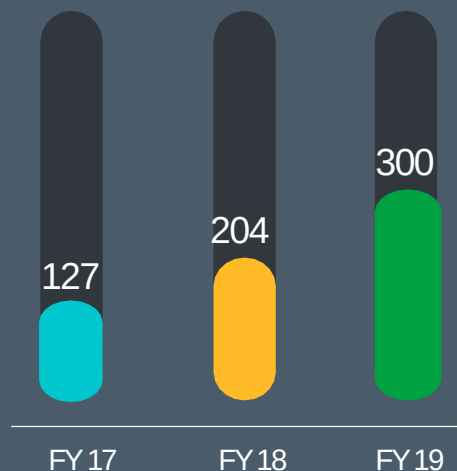
OUR CHANNEL CONTRIBUTION

AGENCY

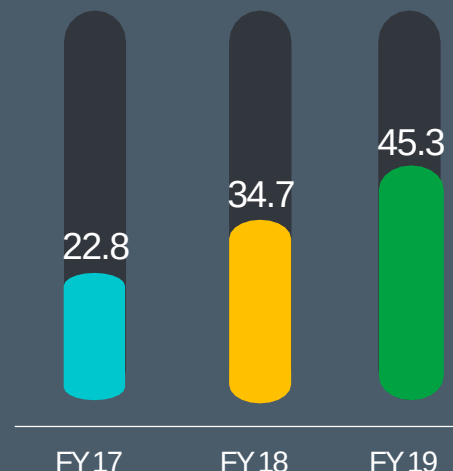
47%

Growth in
Agency
Banking
Value

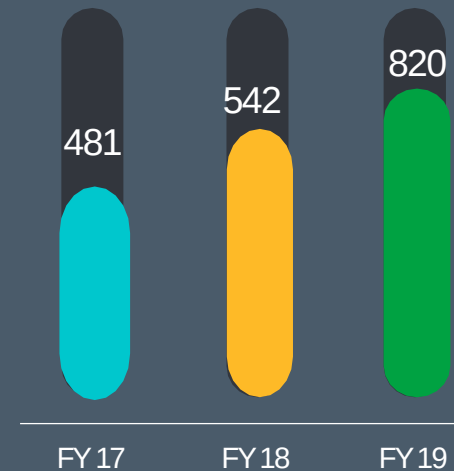
Value of Transactions
(KShs.B)



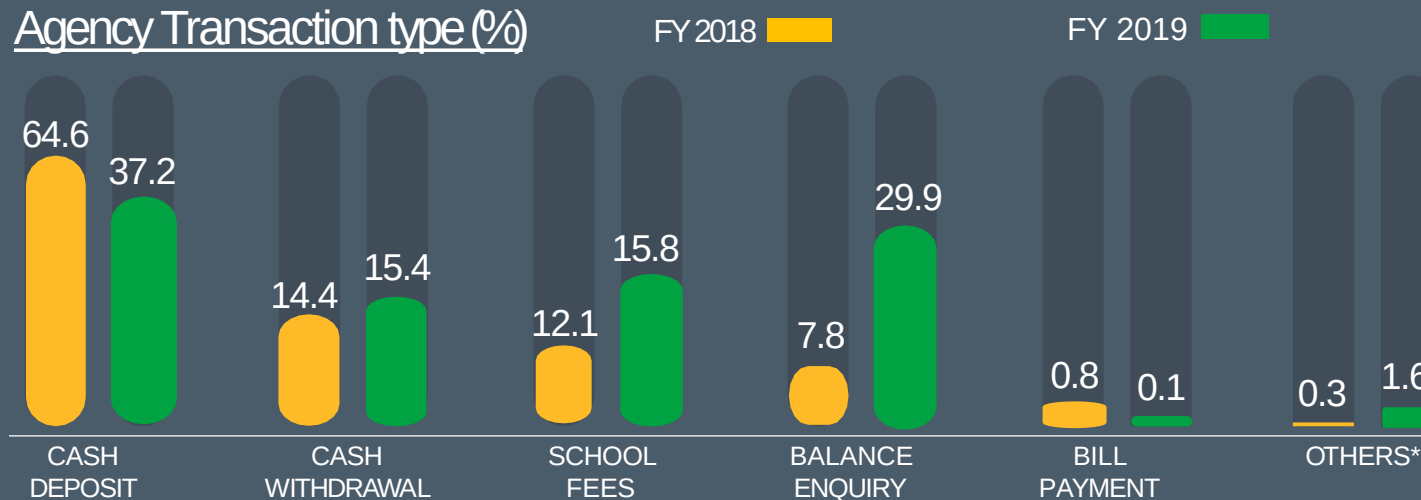
No. of transactions
(M)



Agency Revenue
(KShs.M)



Agency Transaction type (%)



*Others: Account opening, mini statement, load cards and Funds transfer

OUR CHANNEL CONTRIBUTION

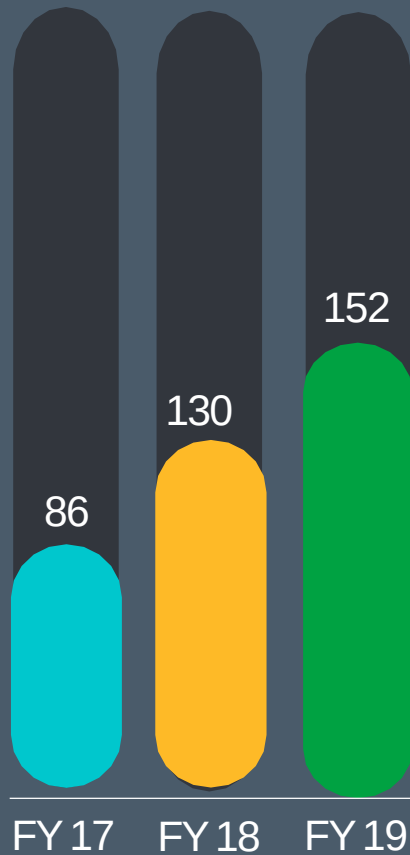
ATM



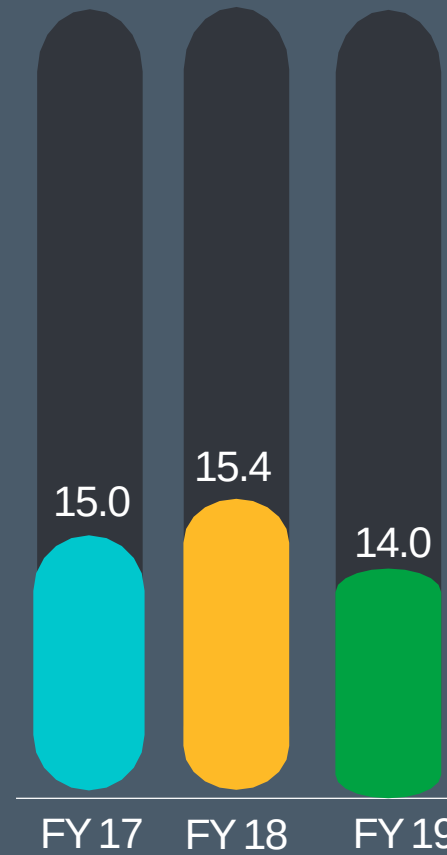
17%
Growth in
ATM
Value

Deposits of
KShs 59.7B collected
through 105 intelligent
ATMs

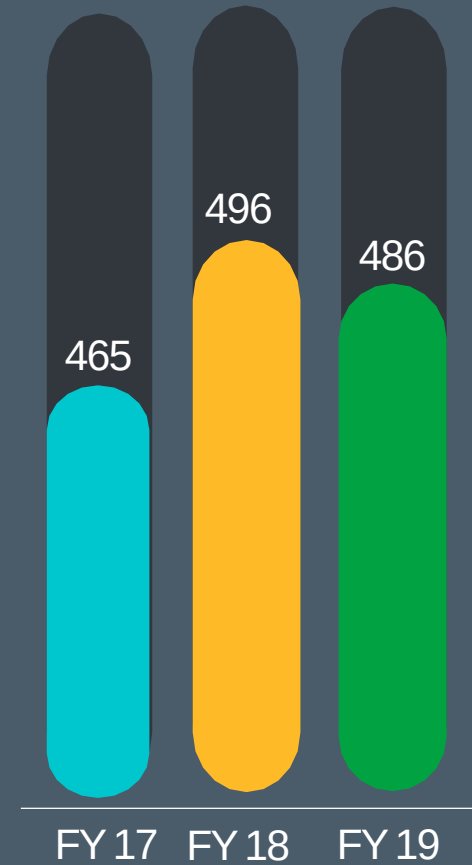
Value of Transactions
(KShs.B)



No. of transactions
(M)



ATM revenue
(KShs M)



OUR CHANNEL CONTRIBUTION

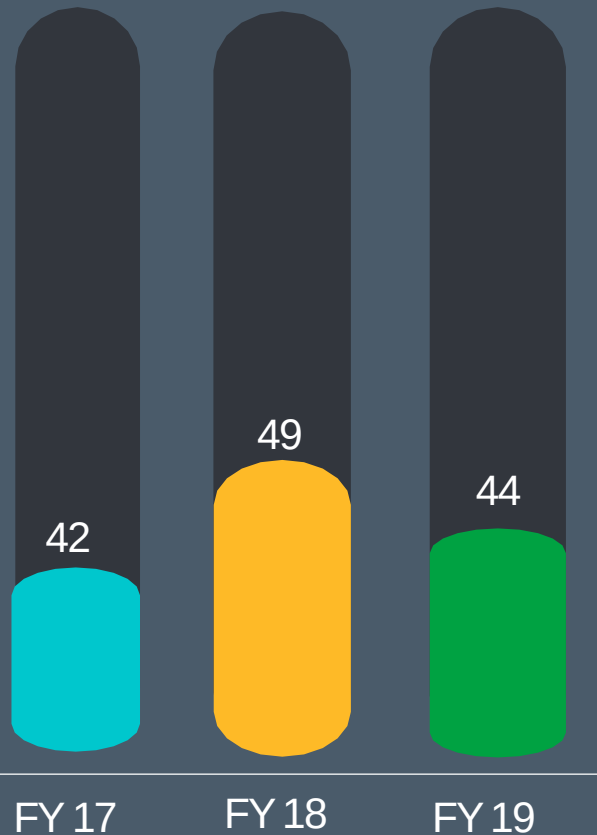
MERCHANT / POS



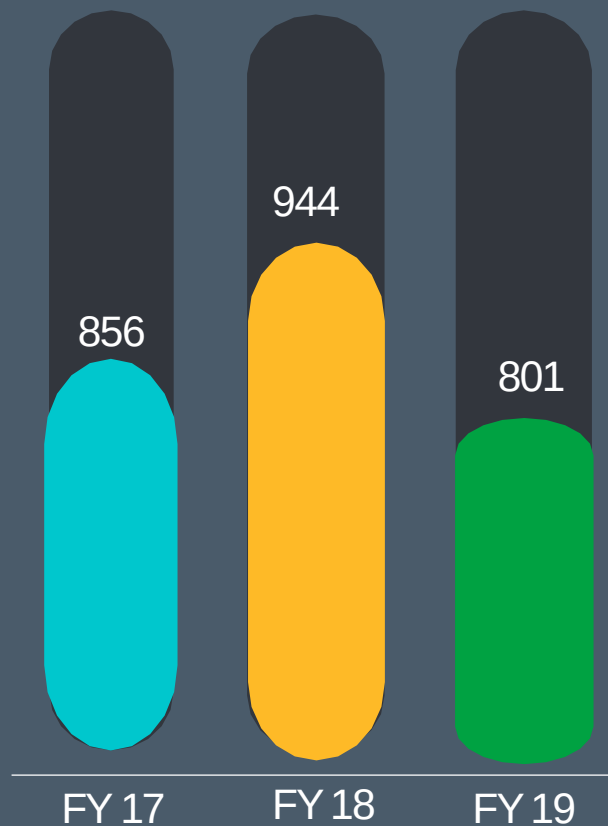
6%

Growth in the average value per **Merchant/ POS** transaction

Value of Transactions (KShs. B)



POS Revenue (KShs. M)



Financial Performance

BALANCE SHEET HIGHLIGHTS

 **25%**
Growth in
Total Assets
(10.1% excl
NBK)

Government Securities

KShs 120.1B

KShs 169.2B

Net Loans & Advances

KShs 455.9B

KShs 535.4B

Customer Deposits

KShs 537.5B

KShs 686.6B

Total Assets

KShs 714.3B

KShs 898.6B

2018

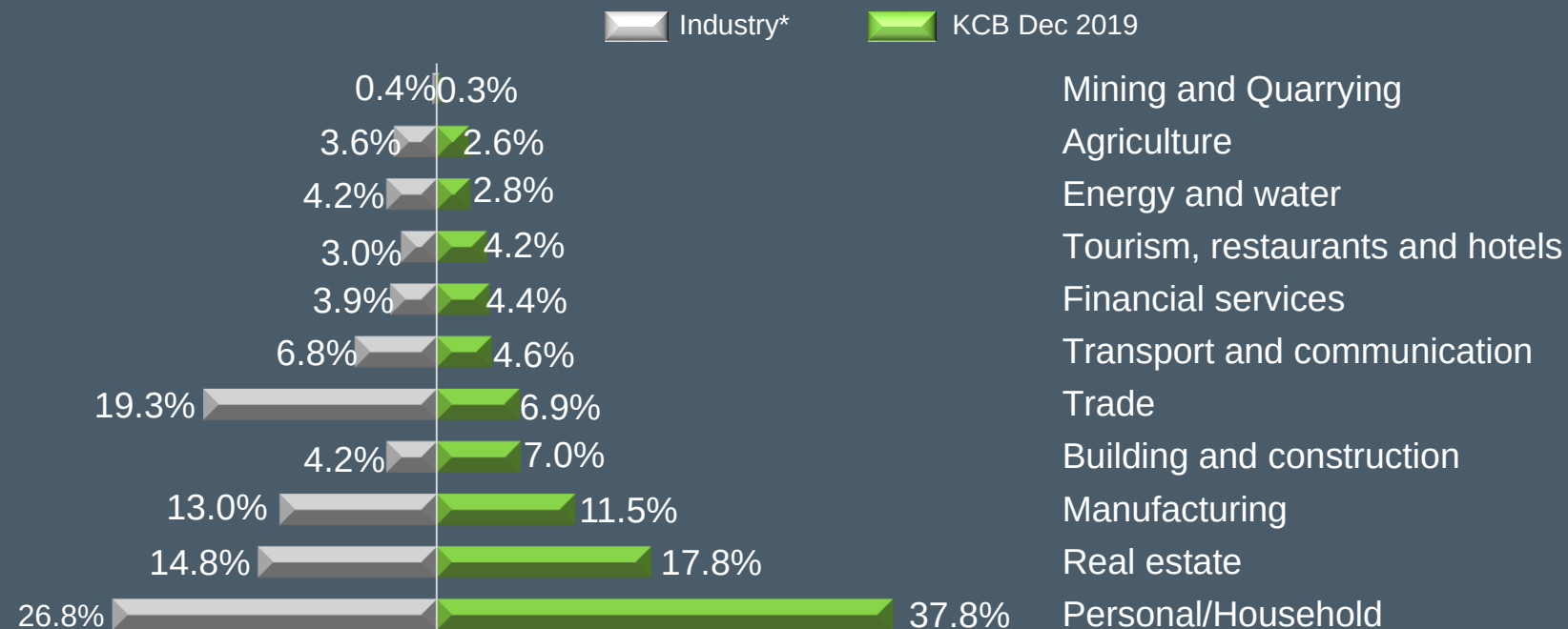
2019

LOAN BOOK PERFORMANCE

Key growth segments:

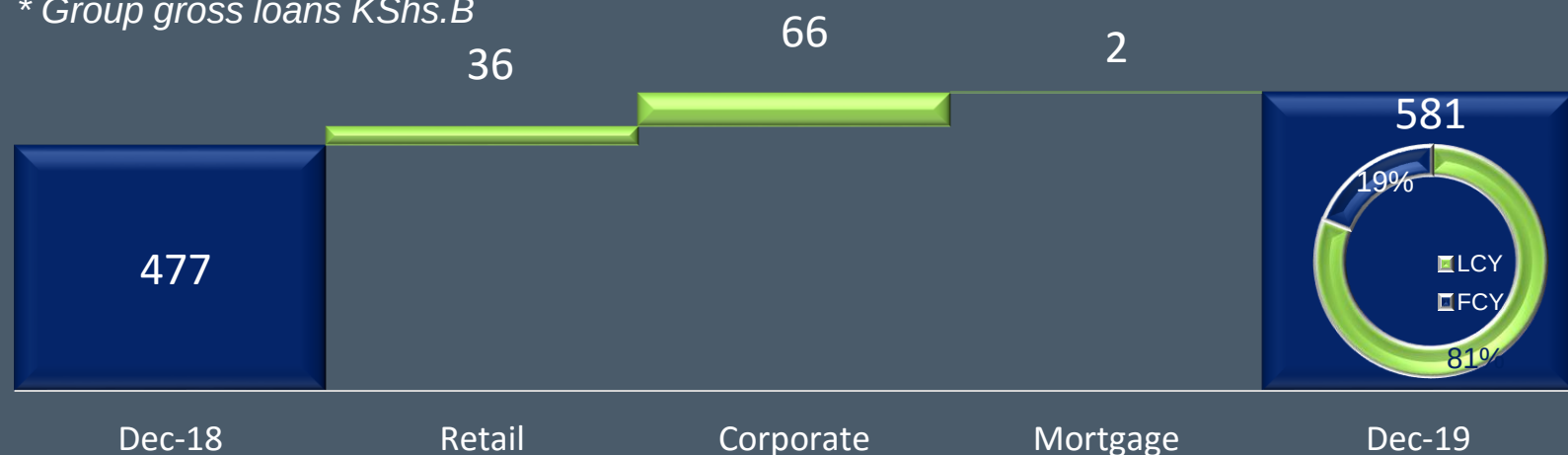
- Personal: 68%
- Tourism: 57%
- Manufacturing: 25%

Sectoral Loans Comparison



*CBK Data as at June 2019

* Group gross loans KShs.B



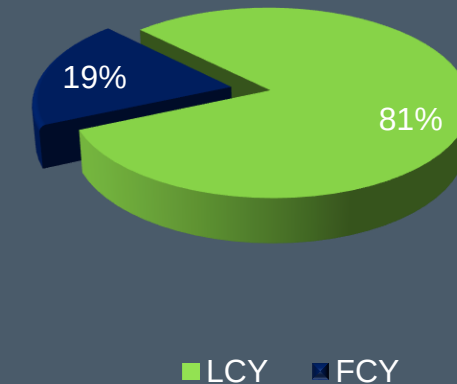
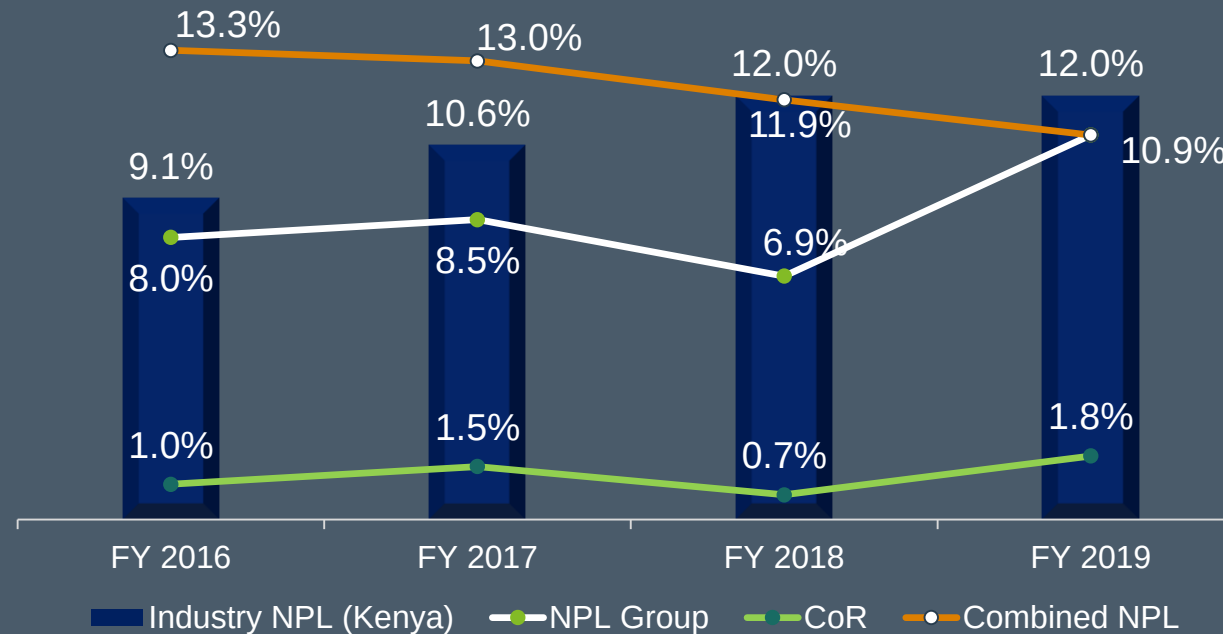
LOAN BOOK PERFORMANCE

7.4% - KCB Group NPL excl NBK, up 40 bps

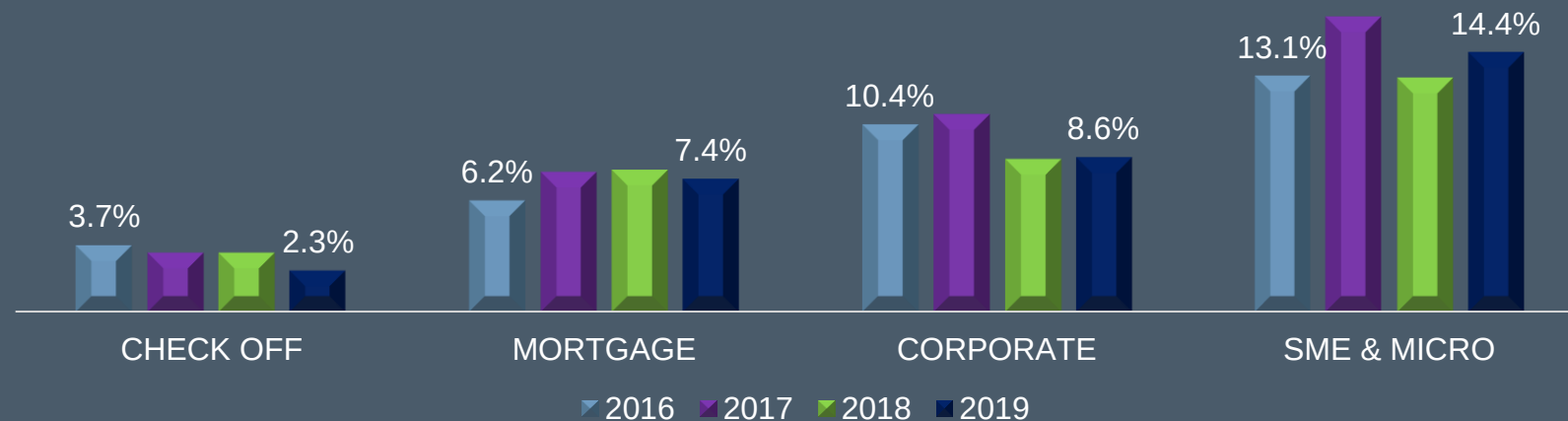
KShs 7.8 billion reduction in the NBK gross NPL in Q4 2019

NBK NPL ratio down in Q4 2019 to **43%** from 50% in Q3 2019

Asset Quality Review



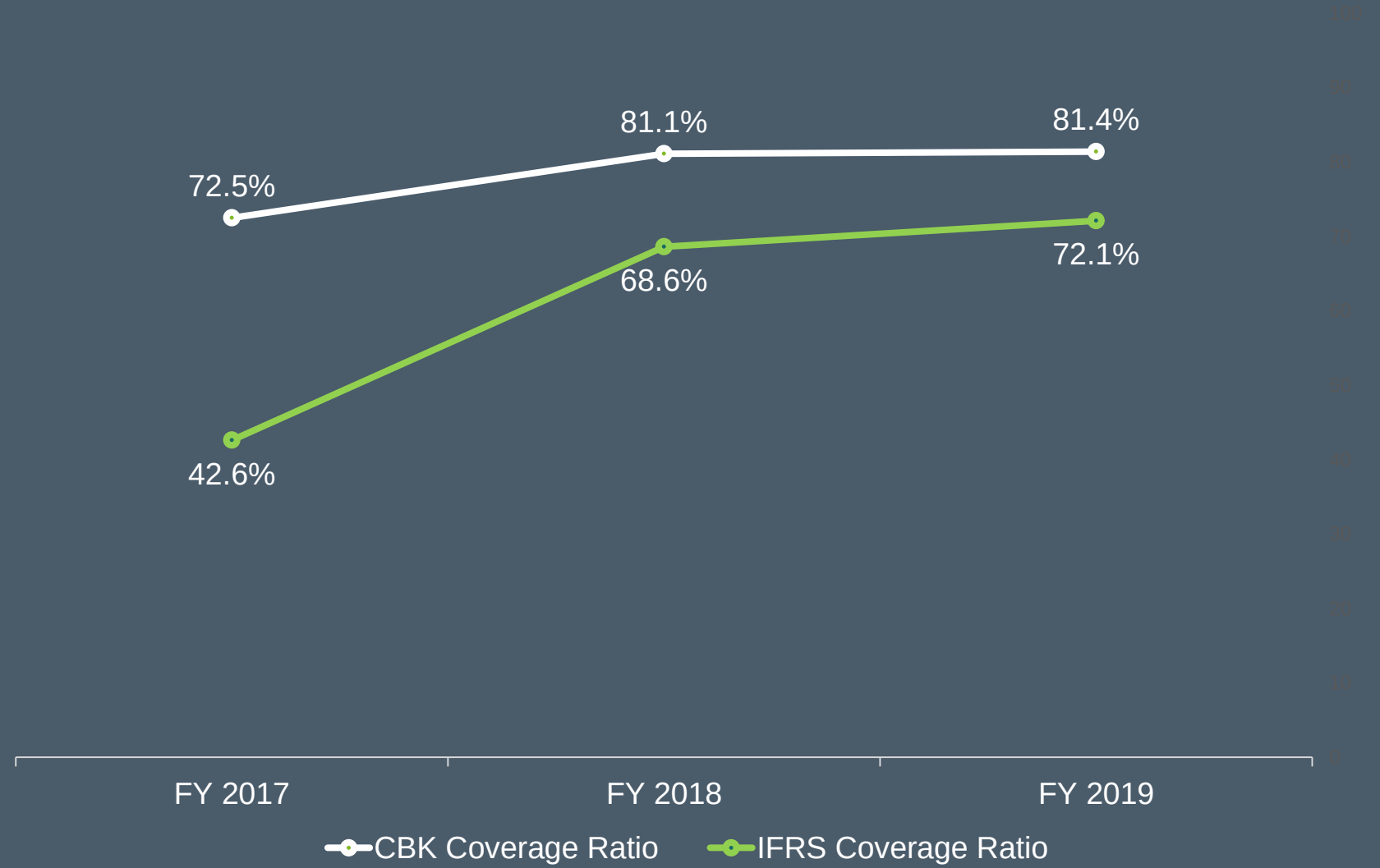
NPL Breakdown



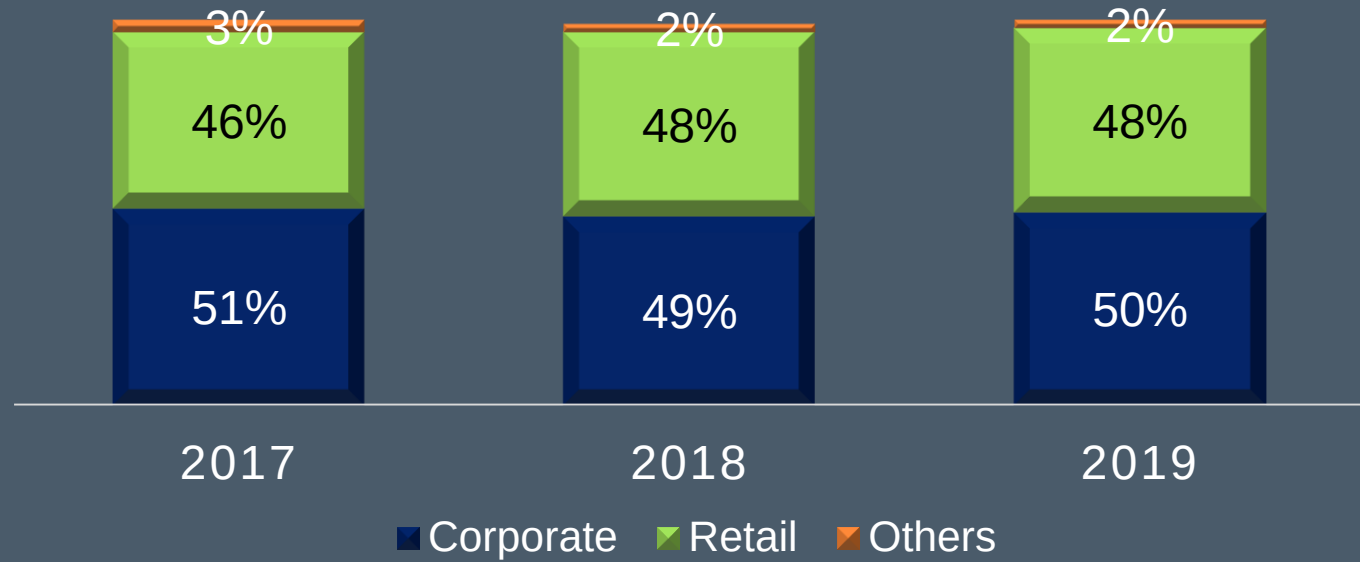
LOAN BOOK PERFORMANCE

Strong coverage
despite increase NPL

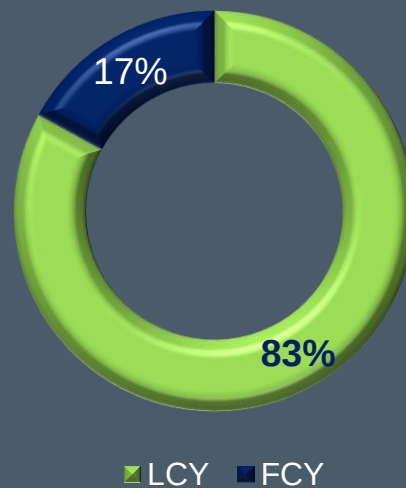
Group Coverage Ratio



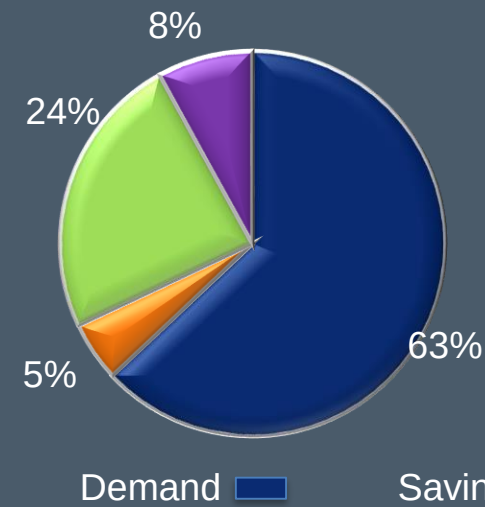
BALANCED DEPOSIT MIX



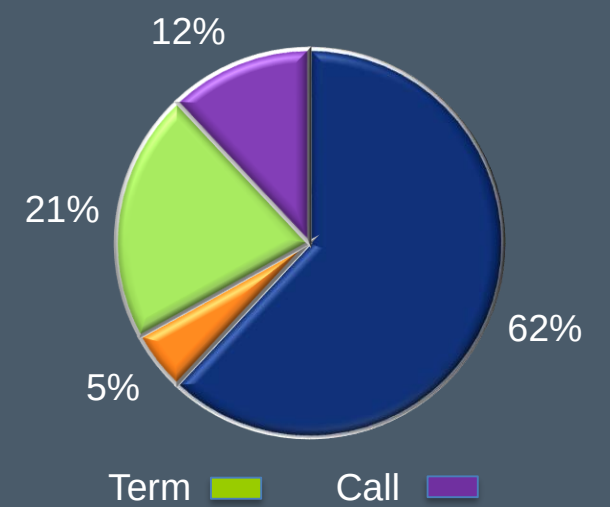
Currency Mix



Deposits by type FY18



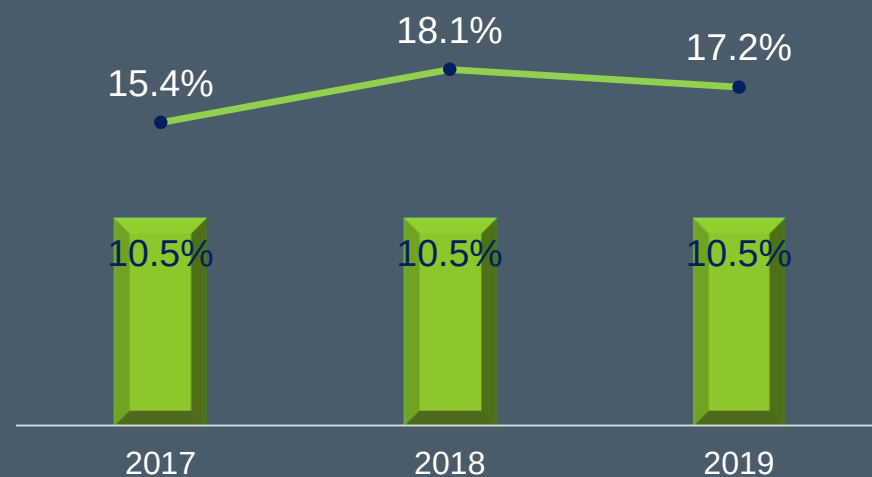
Deposits by type FY19



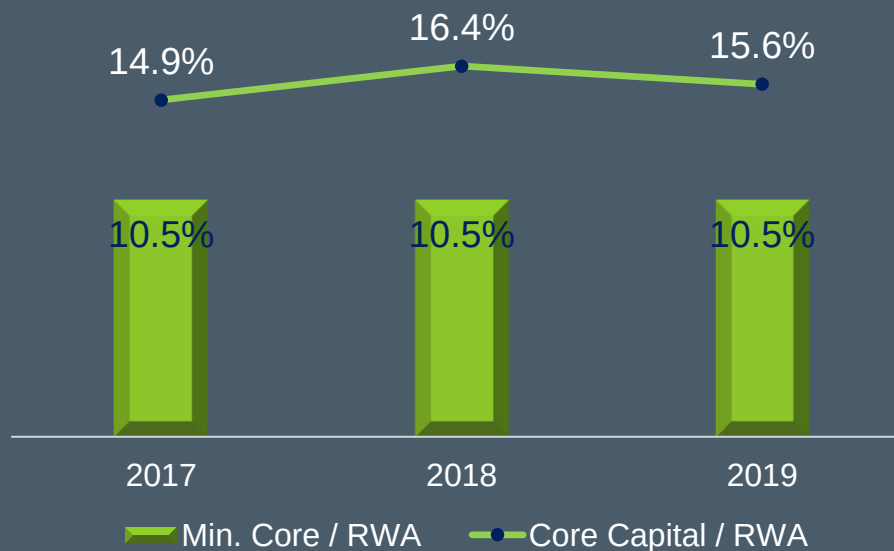
STRONG CAPITAL BUFFERS

Core Capital to RWA

Group

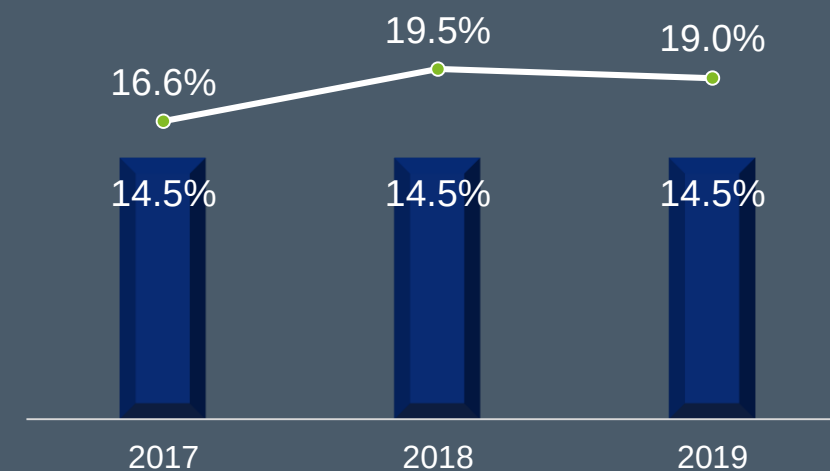


Kenya

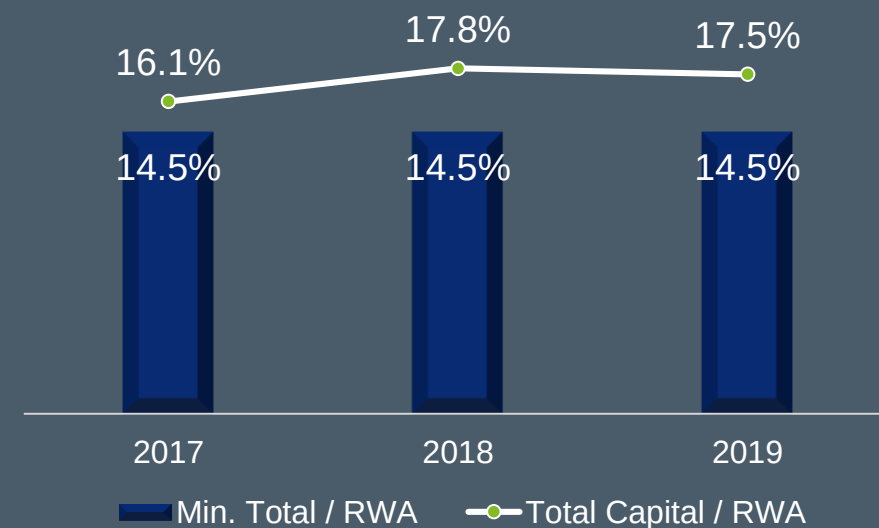


Total Capital to RWA

Group



Kenya



P&L HIGHLIGHTS

Profit
before tax
up 9.0%
(5% growth
excl NBK)

4.9% Net
Earnings
growth to
Kshs **25.2B**
(Flat excl
NBK)

Net Interest Income

KShs 48.8B

KShs 56.1B

Total Non Interest Income

KShs 23.0B

KShs 28.2B

Operating Expenses

KShs (35.0B)

KShs (38.5B)

Profit before tax

KShs 33.9B

KShs 36.9B

2018

2019

P&L HIGHLIGHTS

International Businesses

7.4% growth in International business PBT

KShs. M

Net Loans & advances

PBT



Strong Balance Sheet

KShs 79.5B growth in net loans

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual 2018	Actual 2019	Y-O-Y Change	Actual 2018	Actual 2019	Y-O-Y Change
Cash and balances with central bank	42.0	60.8	45%	39.1	42.2	8%
Balances with other institutions	40.1	48.2	20%	16.6	19.7	18%
Investments in Government & Other securities	120.1	169.2	41%	103.0	118.4	15%
Net loans and advances	455.9	535.4	17%	417.2	447.2	7%
Fixed assets	14.1	26.6	89%	10.1	15.1	50%
Other assets	42.1	58.4	39%	35.7	31.8	(11%)
Total Assets	714.3	898.6	26%	621.7	674.3	8%
Customer deposits	537.5	686.6	28%	475.4	528.1	11%
Balances due to other banks	20.1	20.4	1%	11.2	8.7	(22%)
Other liabilities	20.6	40.4	96%	18.4	26.4	43%
Long-term debt	22.4	21.5	(4%)	18.9	18.5	(2%)
Total Liabilities	600.6	768.8	28%	523.9	581.7	11%
Shareholders' equity	113.7	129.7	14%	97.8	92.6	(5%)
Total liabilities and equity	714.3	898.6	26%	621.7	674.3	8%

5% GROWTH IN EARNINGS

KShs Billion	KCB Group			KCB Bank Kenya		
	Actual 2018	Actual 2019	Y-O-Y Change	Actual 2018	Actual 2019	Y-O-Y Change
Interest income	66.3	74.4	12%	59.3	63.7	8%
Interest expense	(17.5)	(18.2)	4%	(15.0)	(14.9)	(1%)
Net interest income	48.8	56.1	15%	44.3	48.9	10%
Foreign exchange income	4.4	4.5	2%	2.7	3.1	16%
Net fees and commissions	14.2	19.8	40%	11.9	16.8	41%
Other income	4.4	3.8	(13%)	3.9	3.6	(8%)
Total other operating income	23.0	28.2	22%	18.6	23.5	27%
Total other operating expenses	(35.0)	(38.5)	10%	(28.3)	(30.5)	8%
Provisions for bad debts	(2.9)	(8.9)	207%	(3.1)	(8.7)	181%
Profit before tax	33.9	36.9	9%	31.4	33.2	6%
Tax	(9.9)	(11.7)	19%	(9.0)	(10.5)	16%
Profit after tax	24.0	25.2	5%	22.4	22.7	1%

OVERVIEW OF KEY FINANCIAL RATIOS

FY 18	HY 19	Q319		KENYA	GROUP
21.9%	23.5%	21.8%	Return on Average Equity	24.9%	20.7%
48.3%	45.7%	44.7%	Cost to Income	42.1%	45.9%
6.9%	7.8%	8.3%	Gross NPL to Gross Loans	7.3%	10.9%
72.4%	60.8%	56.0%	NPL Coverage	90.8%	72.1%
19.7%	19.1%	18.3%	Debt to Equity	19.9%	16.6%
32.0%	34.1%	35.2%	Non funded income to total income	32.5%	33.4%
3.2%	2.8%	2.8%	Cost of funds	2.8%	2.8%
8.1%	8.3%	7.9%	Net Interest Margin	8.1%	8.1%
0.7%	1.3%	1.7%	Cost of risk	1.9%	1.8%
84.8%	89.2%	87.0%	Loan to Deposit Ratio	89.9%	84.6%
8.0%	14.0%	11.7%	Growth of Net Loans and Advances	7.2%	17.4%
8.0%	7.0%	11.4%	Growth of Customer Deposits	11.1%	27.7%

2019 DIVIDEND

- ❖ KCB Group paid an interim dividend of KShs 1.00 per share in November 2019.
- ❖ The Directors recommend a final dividend for the year ended 31 December, 2019 of KShs 2.50



FY 2020 OUTLOOK

Non funded income growth	25.0%
NFI Ratio	36.2%
Cost/ Income ratio	45.0%
Cost of funds	2.8%
Cost of Risk	1.8%
NPL Ratio	8.0%
NIM	7.8%
Asset yield	11.1%
Loan growth	14.0%
Deposit growth	14.0%
ROA	3.5%
ROE	22.9%



THANK YOU

Investor Relations
investorrelations@kcbgroup.com
www.kcbgroup.com